

Q 1. The ratio that reflects the overall profitability of an insurance company is ____ .

- ☐ Price Earning PE ratio
- ☐ Expense ratio
- ☐ Combined ratio
- ☐ Operating ratio
- ☐ Loss ratio

☒ UnAttempted

CORRECT ANSWER:

Combined ratio

Explanation:

The combined ratio reflects the overall profitability of an insurance company.

The combined ratio is a measure of profitability used by an insurance company to indicate how well it is performing in its daily operations.

Combined Ratio = Incurred Losses + Expenses / Earned Premium

Q 2. Mr. Wilson had taken a life insurance policy of Rs 5 lacs from New Life Insurance Co. and another life insurance policy of Rs 2 lacs from System Insurance Co. On the death of Mr. Wilson, his nominee makes a claim. How is the claim amount the nominee will receive ?

- ☐ Nominee will receive Rs 2 lacs from System Insurance Co. as it was the last company to offer insurance cover to Mr. Wilson
- ☐ Nominee will receive Rs 3.5 lacs out of which New Life Insurance Co. will pay Rs 2.5 lacs and System Insurance Co. will pay Rs. 1 lac
- ☐ Nominee will receive Rs 5 lacs from New Life Insurance Co. as it was the first company to offer insurance cover to Mr. Wilson
- ☐ Nominee will receive Rs 7 lacs out of which full benefit amount of Rs 5 lacs will be paid by New Life Insurance Co. and full benefit of Rs 2 lacs will be paid by System Insurance Co.
- ☐ Nominee will receive the compensation as decided by the Insurance Ombudsman

☒ UnAttempted

CORRECT ANSWER:

Nominee will receive Rs 7 lacs out of which full benefit amount of Rs 5 lacs will be paid by New Life Insurance Co. and full benefit of Rs 2 lacs will be paid by System Insurance Co.

Explanation:

The principles of indemnity and contribution do not apply to life insurance. Hence both the companies will pay the full benefit amount.

Q 3. What is the purpose of insurance ?

- ☐ Bring people who are exposed to similar risks together
- ☐ Pay claims
- ☐ Collect premium
- ☐ All of the above
- ☐ Make profits for the insurance company

☒ UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

The purpose of insurance is to:

> bring people who are exposed to similar risks together (sharing the same risk)

> collect premium from the individuals

> pay compensation, called claims, in the event of loss

Q 4. In case of Life Insurance, the insurable interest must exist at the time of taking a policy as well as at the time of making a claim - State True or False ?

- ☐ True
- ☐ False

☒ UnAttempted

CORRECT ANSWER:

False

Explanation:

In case of Life Insurance, the insurable interest must exist at the time of taking a policy. At the time of making the claim, it is not necessary to prove insurable interest.

Q 5. Which was the first company to conduct life insurance business in India?

- ☐ LIC of India
- ☐ Oriental Life Insurance Company
- ☐ GIC of India
- ☐ Madras Equitable
- ☐ Bharat Insurance Company

☒ UnAttempted

CORRECT ANSWER:

Oriental Life Insurance Company

Explanation:

Oriental Life Insurance Company was the first company to conduct life insurance business in India. It was set up in Kolkata in 1818.

- Q 6. IRDA was set up in the year _____.
☐ 2005
☐ 2004
☐ 2002
☐ 2000
☐ 1999

☒ UnAttempted

CORRECT ANSWER:

1999

- Q 7. In which type of contract, the annuitant makes a lump sum payment to the insurance company and the insurance company starts paying annuities (periodic payments) soon after the policy commences?
☐ Deferred Annuity
☐ Lumpsum Annuity
☐ Immediate Annuity
☐ None of the above
☐ Any of the above

☒ UnAttempted

CORRECT ANSWER:

Immediate Annuity

Explanation:

In an immediate annuity contract the annuitant makes a lump sum payment to the insurance company and the insurance company starts paying annuities (periodic payments) soon after the policy commences.

- Q 8. Mr X and Mr Y are brothers who are travelling on their respective bikes. Due to negligent driving by Mr Y, their bikes collide and Mr X's bike is damaged. Both their bikes are insured. How will the insurance claim be settled?
☐ Mr Y will take the money from his insurance company and pay for the repairs of his brother's bike.
☐ The insurance company will not interfere as it is a family matter between the two brothers and the insurance company has got no role to play as insurance companies don't interfere in family matters.
☐ Mr X's insurance company will settle the claim and recover the money from Mr.Y as he was responsible for the accident due to his negligent driving
☐ Mr X's insurance company will settle the claim and Mr Y will get away with his negligent driving as he is Mr X's brother.
☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Mr X's insurance company will settle the claim and recover the money from Mr.Y as he was responsible for the accident due to his negligent driving

Explanation:

As per the principle of subrogation, Mr. X insurance company will settle his claim and recover the money from Mr Y as he was responsible for the accident and the insurance company should not suffer a loss due to Mr Y's mistake.

- Q 9. According to Section 45 of the Insurance Act, if the insurance company comes to know that some material fact has not been disclosed by the proposer, it can declare the policy as null and void, in how many years?
☐ During the first six months of the policy
☐ During the first year of the policy
☐ During the first three years of the policy
☐ During the first five years of the policy
☐ Never, once the policy is issued and handed over to the proposer

☒ UnAttempted

CORRECT ANSWER:

During the first three years of the policy

Explanation:

According to Section 45 of the Insurance Act, in the first three years of the policy, if the insurance company comes to know that some material fact has not been disclosed by the proposer, it can declare the policy as null and void. The insurance company can forfeit all the premiums paid. But this right can be enforced by the insurance company only during the first three years of the policy. After three years, fraud must be established to make the policy void.

- Q 10. Insurance is a way to _____.
☐ avoid loss
☐ reduce loss
☐ prevent risk
☐ finance risk
☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

finance risk

Explanation:

In business economics, risk financing is concerned with providing funds to cover the financial effect of unexpected losses experienced by a firm. Insurance is the most popular tool of risk financing.

- Q 11. What is the role of a TPA?
☐ To get new business for the insurer
☐ To scrutinize the proposal forms
☐ To settle medical and hospital expenses on behalf of the insurer
☐ To calculate the premium
☐ To issue the policy documents

☒ UnAttempted

CORRECT ANSWER:

To settle medical and hospital expenses on behalf of the insurer

Explanation:

A TPA is a specialised health service provider rendering various services related to health insurance. These services include networking with hospitals, claim processing and settlement.

Q 12. Which clauses are used in marine insurance when goods are being moved from one country to another ?

- ☐ Institute Cargo Clauses
- ☐ Time or Voyage Clauses
- ☐ Indemnity Clauses
- ☐ Indisputability Clauses
- ☐ Institute Voyage Clauses

☒ UnAttempted

CORRECT ANSWER:

Institute Cargo Clauses

Explanation:

Institute Cargo Clauses are drafted by the Institute of London Underwriters and used internationally. These clauses are used in marine insurance when goods are being moved from one country to another.

Q 13. Increased Value Insurance applies to ____ .

- ☐ Time or Voyage policies
- ☐ Mediclaim policies
- ☐ Motor Car Insurance
- ☐ Endowment Policies
- ☐ Marine Cargo Insurance

☒ UnAttempted

CORRECT ANSWER:

Marine Cargo Insurance

Explanation:

Increased value policies provide for increase in the value of goods due to the increase in market value of the goods, at destination. This type of policy applies to marine cargo insurance.

Q 14. _____ works as an intermediary between an Insurer and Reinsurer.

- ☐ Agents
- ☐ Composite broker
- ☐ Reinsurer broker
- ☐ All of above
- ☐ Both 2 and 3

☒ UnAttempted

CORRECT ANSWER:

Both 2 and 3

Explanation:

Reinsurer brokers and Composite brokers act as intermediaries and find a reinsurer willing to accept the risk.

Q 15. _____ policy offers a tax deferred saving a/c.

- ☐ Pension plans
- ☐ Child education protection plan
- ☐ Endowment plans
- ☐ Term plans
- ☐ Universal life insurance

☒ UnAttempted

CORRECT ANSWER:

Child education protection plan

Explanation:

A tax-deferred savings plan is a savings plan or account that is registered with the government and provides deferral of tax obligations. Tax-deferred savings plans may defer taxable earned within the account either until withdrawal or until a particular date.

They are used most commonly in retirement savings account but are also available for education savings plans and other account.

Q 16. The premiums which are paid subsequent to the first premium are known as ____ .

- ☐ Repeat Premiums
- ☐ Future Premiums
- ☐ Renewal Premiums
- ☐ Revival Premiums
- ☐ Reinstatement Premiums

☒ UnAttempted

CORRECT ANSWER:

Renewal Premiums

Explanation:

The premium paid initially at the commencement of the policy is referred to as the First Premium and the subsequent premiums that are paid after the first premium are called Renewal Premiums.

Q 17. Annuities are _____ payments not necessarily monthly, and are not related to ____ .

- ☐ Periodical , employment
- ☐ Periodical , maturity
- ☐ Cyclic , markets
- ☐ Regular , maturity
- ☐ Regular , death of insured

☒ UnAttempted

CORRECT ANSWER:

Periodical , employment

Explanation:

Annuities are periodic payments made to an individual in consideration of a lump sum paid to the insurer before the commencement of annuity payments. It is not necessarily related to employment. Annuities offered by insurance companies give the annuitant the option to receive the annuity payments monthly, quarterly, half-yearly or annually.

Q 18. Which act makes it compulsory for owners of mechanically propelled vessels operating in inland waters to have insurance against liability for damage to third parties ?

- ☐ The merchant shipping act
- ☐ Marine insurance act
- ☐ Indian steam vessels (amendment) act
- ☐ Public liability insurance act
- ☐ Camage of goods by sea act

☒ UnAttempted

CORRECT ANSWER:

Indian steam vessels (amendment) act

Q 19. As per the IRDA code of conduct for insurance agents, which of these statements is TRUE ? A) The agent has to carry his ID card when he meets his clients B) Even though the agent is not filling the proposal form, he can be asked to show his identification. C) The prospect can ask to see the license of the agent

- ☐ Only statement A is correct
- ☐ Only statement B is correct
- ☐ Only statement C is correct
- ☐ Only statement A and B are correct
- ☐ Only statement A and C are correct

☒ UnAttempted

CORRECT ANSWER:

Only statement A and C are correct

Explanation:

As per the IRDAI code of conduct for agents :

Every insurance agent shall -

- a. identify himself and the insurance co. of whom he is an insurance agent
- b. disclose his license to the prospect on demand

Q 20. Mr. Anil has taken a pension plan policy in which he will pay premium for 20 years and the annuity will start when the policy has completed the terms of 20 years. What is the date called when annuity starts ?

- ☐ Deferred date
- ☐ Unpaid date
- ☐ Delayed date
- ☐ Post poned date
- ☐ Annuity date

☒ UnAttempted

CORRECT ANSWER:

Deferred date

Explanation:

The term 'deferred date' can have two meanings in life insurance. Firstly, it can be used in the case of a children's policy, where risk cover begins on a different date than the commencement date of the policy. Secondly, the term deferred date is also used to describe the date when the annuity begins.

In both cases the time between commencement date and the deferred date is called the deferment period.

Q 21. Micro insurance helps rural and the social sector by _____ .

- ☐ Promoting savings for economically weaker section
- ☐ Providing life cover for smaller amounts
- ☐ Savings can start with smaller amounts
- ☐ Helping create awareness about arranging finances to the weaker section
- ☐ All of above

☒ UnAttempted

CORRECT ANSWER:

All of above

Q 22. Which of these statements is INCORRECT with respect to an insurance policy document ?

- ☐ The policy becomes void if the original insurance policy document is lost or destroyed
- ☐ The policy is the proof of the contract
- ☐ The policy document states the obligation of the policy holders
- ☐ The policy document states the terms and condition of the contract
- ☐ The policy document gives details of the promises of the insurer

☒ UnAttempted

CORRECT ANSWER:

The policy becomes void if the original insurance policy document is lost or destroyed

Explanation:

If the policy document is lost or destroyed, a duplicate can be issued subject to the completion of formalities.

Q 23. Mr. Surinder has nominated his wife as his nominee in a life insurance policy. Unfortunately both of them die in a car accident. How will the insurer proceed with the settlement of claims ?

- ☐ If Mr. Surinder has made a will and mentioned the Life Insurance policy, it will be as per the direction of the will.
- ☐ The legal heirs of Mr. Surinder can obtain a succession certificate
- ☐ A close relative of Mr. Surinder can claim the amount
- ☐ In such cases the claim amount is transferred to Investor Protection Fund
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

If Mr. Surinder has made a will and mentioned the Life Insurance policy, it will be as per the direction of the will.

Explanation:

In case a nominee dies, it is equivalent to 'No Nominee' and the amount will be given as per WILL.

Q 24. Which of these options cannot be considered as a valid contract ?

- ☐ Mr A, aged 40 years gives on rent his house to a 19 year old science student
- ☐ Mr B, aged 50 insures his house furniture and gold
- ☐ Mr C, aged 21 insures his second hand car
- ☐ Mr D, aged 30 takes an insurance on his friends house
- ☐ Mr E, aged 45 takes a bank loan to renovate his house

☒ UnAttempted

CORRECT ANSWER:

Mr D, aged 30 takes an insurance on his friends house

Explanation:

Mr D has no insurable interest in his friends house. Insurable interest is the legal right of the person to insure the subject matter with which they have a legal relationship recognised by law. If there is no legal relationship then the insurance contract will be null and void.

Q 25. Which of these Government bodies does not contribute to the Solatium Fund ?

- ☐ Central Government
- ☐ State Government
- ☐ General Insurers
- ☐ Municipal Corporations
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Municipal Corporations

Explanation:

A Solatium Fund has been established by the Central Government. The Central and State Governments and the general insurers contribute to this fund and it is used to pay claims for third parties involved in accidents where the motor vehicle disappears after the accident and cannot be identified. These accidents are commonly referred to as Hit and Run cases.

Q 26. To be eligible for a TPA licence from IRDA, at least one of the directors of the Third Party Administrator must be a _____ .

- ☐ qualified pathologist
- ☐ qualified cardiac specialist
- ☐ qualified microbiologist
- ☐ qualified hospital manager
- ☐ qualified medical practitioner

☒ UnAttempted

CORRECT ANSWER:

qualified medical practitioner

Explanation:

Eligibility criteria for a TPA (Third Party Administrator) licence from IRDA, the applicant company:

- a) should have a share capital of at least Rs. 1 crore
- b) at least one of the directors must be a qualified medical practitioner
- c) one of its officers has to undergo prescribed training and pass a prescribed examination

Q 27. A broker who places his insurance with a primary insurer is known as a _____ .

- ☐ reinsurance broker
- ☐ composite broker
- ☐ direct broker
- ☐ primary broker
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

direct broker

Explanation:

A broker is not appointed by any insurance company. They are independent professionals and have to obtain a licence from the IRDA after going through a prescribed training course and passing a prescribed examination.

A broker needs to invest a minimum prescribed capital varying from Rs. 50 lakhs for a direct broker (placing business with primary insurers) to Rs. 250 lakhs for reinsurance or a composite broker. A composite broker can do business with primary insurers as well as reinsurers.

Q 28. What is the controller of insurance currently called in India ?

- ☐ Insurance Ombudsman
- ☐ Insurance institute of India
- ☐ IRDAI
- ☐ Insurance council
- ☐ Insurance Association

☒ UnAttempted

CORRECT ANSWER:

IRDAI

Explanation:

Insurance Regulatory and Development Authority of India (IRDAI) is the controller of insurance in India.

Q 29. Why should one keep extra spare of important units in a factory ?

- ☐ Its cheaper to buy in bigger quantities so as to save costs
- ☐ It helps training new recruits about how they operate
- ☐ It helps in building similar units in future
- ☐ It helps in reducing delays in repairs to the minimum and thereby cut losses
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

It helps in reducing delays in repairs to the minimum and thereby cut losses

Explanation:

Keeping extra spares is one of the loss reduction techniques as it helps in reducing delays in repairs to the minimum and thereby cut losses.

Q 30. As per Indian Contract Act, who is not competent to contract ?

- ☐ A person of unsound mind
- ☐ A person who is convicted of criminal offence
- ☐ A person of age 16 years
- ☐ All of the above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

According to section 11 of the Indian Contract Act the following three classes of persons are incompetent to contract .

1) minors (ie. below 18 years)

2) persons of unsound mind , and

3) persons disqualified by law to which they are subject (like criminals etc.)

Q 31. A transport company has more than 1000 trucks. The cost of insuring these vehicles with an insurance company is quiet expensive. So they chose to setup a separate fund ear marked for meeting losses. What is this arrangement called ?

- ☐ Risk Acceptance
- ☐ Self Insurance
- ☐ Risk Avoidance
- ☐ Risk Reserve
- ☐ Risk Subsidy

☒ UnAttempted

CORRECT ANSWER:

Self Insurance

Explanation:

Self insurance is known as retention.

Retention: If risk is retained the person exposed to the risk determines that they are able to bear the loss associated with the risk. They do not pass the risk on to an insurer.

Q 32. Which principle ensures that the insured cannot recover the losses from several insurance companies ?

- ☐ Principle of Subrogation
- ☐ Principle of Contribution
- ☐ Principle of Indemnity
- ☐ Principle of Good Faith
- ☐ Principle of Insurable interest

☒ UnAttempted

CORRECT ANSWER:

Principle of Contribution

Explanation:

The principle of contribution ensures that if there is more than one insurance policy drawn up on the same subject matter, the insured cannot recover their loss from all the insurers, in which case they will recover more than their loss, or even make a profit.

Q 33. Mr Parag had a motor policy he recently renewed and had raised no claim the previous year, hence he was entitled for a premium discount . What is this incentive called ?

- ☐ Simple bonus
- ☐ No claim reward
- ☐ Compound bonus
- ☐ No claim bonus
- ☐ Interim bonus

☒ UnAttempted

CORRECT ANSWER:

No claim bonus

Q 34. Fill in the blanks : An insurance contract is a contract under which _____ accepts significant insurance risk from _____ by agreeing to compensate the policyholder by _____ if a specified uncertain future event (the insured event) adversely affects the policyholder in consideration of money called _____. A) The Sum Assured B) The Insured C) The Premium D) The Insurer.

- ☐ B, D, C, A
- ☐ D, B, A, C
- ☐ A, B, D, C
- ☐ D, C, A, B
- ☐ C, A, D, B

☒ UnAttempted

CORRECT ANSWER:

D, B, A, C

Explanation:

An insurer is a company who provides protection by entering into a contract with the person seeking protection for their assets. The person who applies for insurance protection is called the insured. Premium is the amount of money or consideration that has to be paid in exchange for the insurance.

The sum assured which is the value of the subject matter of insurance and becomes the basis for payments made by the insurer in the event of a claim. The sum assured is the maximum amount of the insurer's liability under the policy.

Q 35. Which Indian act lays down the conditions of a valid contract and the when it becomes voidable, how it can be revoked etc. ?

- ☐ Indian Securities Act
- ☐ Indian Contract Act
- ☐ Indian Stamps Act
- ☐ Indian Partnership act
- ☐ Indian Companies Act

☒ UnAttempted

CORRECT ANSWER:

Indian Contract Act

Q 36. Aviation insurance falls under which category of insurance ?

- ☐ Miscellaneous Insurance
- ☐ Engineering Insurance
- ☐ Marine Insurance
- ☐ Motor Insurance
- ☐ Fire Insurance

☒ UnAttempted

CORRECT ANSWER:

Miscellaneous Insurance

Explanation:

Aviation Insurance falls under the Miscellaneous Insurance category and it covers damage to aircraft and liabilities to freight, passengers and third parties.

Q 37. Which of these parameter can be set to suit the preference of the proposer in an Endowment Plan ?

- ☐ Amount of sum assured
- ☐ Policy duration
- ☐ Mode of premium payment
- ☐ Frequency of premium payment
- ☐ All of above

☒ UnAttempted

CORRECT ANSWER:

All of above

Explanation:

All the above parameters can be decided by proposer.

- Q 38. Which of these statements is INCORRECT with respect to Insurance Regulatory and Development Authority (IRDA) ?
- ☐ IRDA is the authority to administer the Insurance Act and to regulate, promote and ensure orderly growth of the insurance industry.
 - ☐ IRDA can, issue guidelines and directions to insurance companies which are to be followed by them on operational matters.
 - ☐ IRDA has the authority to issue licences to insurers as well as to intermediaries like agents, brokers, TPAs etc.
 - ☐ IRDA was constituted by an Act of Parliament in 1999 as regulator for the insurance sector.
 - ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

None of the above

Explanation:

All the above statements are true.

- Q 39. The full form of MACT is _____ .
- ☐ Motor & Aviation Claim Tribunal
 - ☐ Major Accident Claim Tribunal
 - ☐ Minor Accident Claim Tribunal
 - ☐ Motor Accident Claim Tribunal
 - ☐ Maximum Action Core Team

☒ UnAttempted

CORRECT ANSWER:

Motor Accident Claim Tribunal

- Q 40. Ms. Shalini had bought a linked insurance policy and the same is to mature after two months. What amount will be available to her from the invested fund she had opted ?
- ☐ The amount available to her is not guaranteed
 - ☐ The amount will depend on how the insurance company has made the investments
 - ☐ The amount will depend on the type of fund chosen by her
 - ☐ The amount will depend on the stock market conditions after two months
 - ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

In unit linked policies, the investable amount is invested in equity shares as per the choice of funds of the investor. So the outcome depends on the stock market conditions, the type of fund and the efficiency of the fund manager of the insurance company.

- Q 41. Insurance companies have _____ in the subject matters that they have insured so they can insure these again with other insurance companies which forms the legal basis for reinsurance.
- ☐ keen interest
 - ☐ insurable interest
 - ☐ high stakes
 - ☐ goodwill
 - ☐ compassion

☒ UnAttempted

CORRECT ANSWER:

insurable interest

Explanation:

Insurance companies have insurable interest in the subject matters that they have insured. They can insure these again with other insurance companies which forms the legal basis for reinsurance.

- Q 42. Outline the activities in sequential order in the process of Risk Management : A) Checking the credibility of the data B) Analyzing the risk C) Identifying the Risk D) Using MPL and PML to analyse the risk.
- ☐ B,D,A,C
 - ☐ C,A,B,D
 - ☐ A,B,C,D
 - ☐ C,B,D,A
 - ☐ D,A,C,B

☒ UnAttempted

CORRECT ANSWER:

C,B,D,A

Explanation:

Risk management begins with identifying and then analysing risks. MPL - Maximum Possible Loss and PML- Probable Maximum Loss are two factors that help identify and analyse risks. The third factor that must be looked at is the credibility of the data that has been used in the analysis.

- Q 43. When a person exposed to the risk determines that he will be able to bear the loss associated with the risk and so does not transfer it through private arrangements, such risk is effectively _____ .
- ☐ Renewed
 - ☐ Reduced
 - ☐ Removed
 - ☐ Retained
 - ☐ Avoided

☒ UnAttempted

CORRECT ANSWER:

Retained

Explanation:

Retention: if risk is retained the person exposed to the risk determines that they are able to bear the loss associated with the risk. They do not pass the risk on to an insurer.

Q 44. Which of the following statement is INCORRECT with respect to a COVER NOTE ?

- ☐ Cover Notes are issued to help customer get quick grant of insurance cover
- ☐ Cover Notes to cover fire risks of goods kept at different locations under one sum assured
- ☐ Cover Notes can be issued on the spot by the insurance company authorities
- ☐ A condition of a cover note is that once the proposal is assessed by an underwriter, the premium can be changed retrospectively
- ☐ Cover Notes are issued for quick insurance of motor vehicles before they are used on the roads

☒ UnAttempted

CORRECT ANSWER:

Cover Notes to cover fire risks of goods kept at different locations under one sum assured

Explanation:

Cover Note - A temporary document issued by an insurance company that provides insurance coverage until a final insurance policy can be issued.

Insurance companies issue a cover note in order to provide an individual with proof of insurance before all the insurance paperwork has been processed.

Floater policies are issued to cover fire risks on stock at different locations under one sum assured.

Q 45. Which of these options is INCORRECT ?

- ☐ The convertible plans allow whole life plans to be altered to endowment plans
- ☐ A Money back plan is a combination of term assurance plan and pure endowment plan
- ☐ The Children deferred insurance policy is taken on the life of one's child
- ☐ A whole life plan is a term assurance plan with an indefinite term
- ☐ The Endowment assurance policy is a combination of pure term and pure endowment plan

☒ UnAttempted

CORRECT ANSWER:

A Money back plan is a combination of term assurance plan and pure endowment plan

Explanation:

Money Back Policy is a combination of a term assurance plan and multiple pure endowment plans.

Q 46. In a life insurance policy, the person who makes a claim, on the death of the policy holder is known as the _____ .

- ☐ nominee
- ☐ assignee
- ☐ legal heir
- ☐ claimant
- ☐ beneficiary

☒ UnAttempted

CORRECT ANSWER:

claimant

Explanation:

When an insured event happens and the policyholder requests the insurance company to compensate them for their loss, the policyholder is making a claim.

A person making the claim is known as the claimant. In non-life policies, the claimant is the policyholder. In the event of death of a life insurance policyholder, the person making the claim is the claimant who could be a nominee, assignee or legal heir.

Q 47. If a policyholder of a Mediclaim policy has not had a claim and renews their policy, they may be given a _____ .

- ☐ No Claim Premium
- ☐ Special Bonus
- ☐ No Claim Reward
- ☐ Medi Reward
- ☐ No Claim Bonus

☒ UnAttempted

CORRECT ANSWER:

No Claim Bonus

Explanation:

If a policyholder has not had a claim and renews their policy, they may be given a No Claim Bonus. This is effectively either a discount on their premium or an increase in benefits (sum assured in mediclaim policies) and is offered as an incentive.

Q 48. Which of these options is not a method of Risk Retention ?

- ☐ Security officers doing a through checking of employees and visitors entering the factories
- ☐ A company has 10,000 employees so it decides to compensate losses to employees through small contribution from employees
- ☐ A company decides to face losses due to uncertain events from the internal funds of the company
- ☐ Creation of a special fund for events which may cause losses to office / factory premises
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Security officers doing a through checking of employees and visitors entering the factories

Q 49. An insurance take steps to assess the risk & decides the allowance of entry for insurance. This is known as _____ .

- ☐ Actuarisation
- ☐ Documentation
- ☐ Sanction
- ☐ Underwriting
- ☐ Documentation

☒ UnAttempted

CORRECT ANSWER:

Underwriting

Explanation:

Underwriting includes assessing the risk to determine the exposure of the group and determining the premium to be charged based on the risk.

Q 50. Which of these statements is INCORRECT with respect to 'Material Facts' ?

- ☐ A fact is said to be material, if it affects the decision of the underwriter to accept or reject the risk or to determine rates
- ☐ A 'fact' is material if it is relevant to the assessment of the risk and determination of the premium
- ☐ Non-disclosure of material facts puts the insurer at a disadvantage
- ☐ If in the first five years of the policy, the insurance company comes to know that some material fact has not been disclosed by the proposer, it can declare the policy as null and void.
- ☐ If the insurance company comes to know about the wrong / withheld information, it can declare the contract void

☒ UnAttempted

CORRECT ANSWER:

If in the first five years of the policy, the insurance company comes to know that some material fact has not been disclosed by the proposer, it can declare the policy as null and void.

Explanation:

According to Section 45 of the Insurance Act, in the first three years of the policy, if the insurance company comes to know that some material fact has not been disclosed by the proposer, it can declare the policy as null and void.